

# China - Anti-Money Laundering Obligations, Large-Value Reporting and Cross-Border Controls

Customer identity, large-value and suspicious transaction reporting, foreign exchange administration and trade settlement

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| Document ID                | CN-REG-019                                                                                                                                                                                      |
| Document type              | National regulation summary                                                                                                                                                                     |
| Jurisdiction code          | CN                                                                                                                                                                                              |
| Applies to corridors       | Transactions with origin or destination in CN                                                                                                                                                   |
| Issuing body (simulated)   | National Anti-Money Laundering Administration (simulated)                                                                                                                                       |
| Version / effective date   | v1.0 - 2026 consolidated text (simulated)                                                                                                                                                       |
| Modelled on public sources | Anti-Money Laundering Law of the People's Republic of China and its revision, People's Bank of China reporting measures, and State Administration of Foreign Exchange rules, publicly available |
| Classification             | SYNTHETIC - HACKATHON TRAINING DATA                                                                                                                                                             |

This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (Anti-Money Laundering Law of the People's Republic of China and its revision, People's Bank of China reporting measures, and State Administration of Foreign Exchange rules, publicly available) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

## 1. Obligated institutions and supervision

Financial institutions include commercial banks, policy banks, rural cooperative institutions, securities and futures firms, fund managers, insurers, trust companies, payment institutions and other non-bank financial service providers. Specified non-financial institutions include real estate developers and agents, dealers in precious metals and stones, and professional service providers in defined transactions.

The central bank administers the framework and operates the national monitoring and analysis centre that receives reports; the foreign exchange administration supervises cross-border flows; customs administers declarations of currency and goods. A corridor assessment should recognise that money laundering controls and capital account controls operate together in this jurisdiction, and that an apparent laundering pattern may equally be an attempt to circumvent capital controls - both are reportable.

## 2. Customer identity and record keeping

- Institutions must identify the customer, verify identity against the national identity verification infrastructure, and identify the beneficial owner of a non-natural person customer.
- Identity must be re-verified where doubt arises, where the transaction pattern is materially inconsistent with the profile, or where a designated risk trigger occurs.
- Customer identity records are retained for at least ten years after the end of the relationship, and transaction records for at least ten years after the transaction.
- Anonymous and pseudonymous accounts are prohibited; accounts opened with borrowed or purchased identity credentials must be closed and reported.

- Trading and settlement of virtual currencies is not a permitted financial activity; institutions must detect and report accounts used to facilitate such activity.

### 3. Large-value and suspicious transaction reporting

| Report                                                              | Threshold (illustrative)                                     | Deadline                                                 |
|---------------------------------------------------------------------|--------------------------------------------------------------|----------------------------------------------------------|
| Cash deposit, withdrawal or exchange - single or same-day aggregate | RMB 50,000, or the foreign currency equivalent of USD 10,000 | Reported to the monitoring centre within 5 business days |
| Domestic transfer between accounts of a legal person                | RMB 2,000,000                                                | Within 5 business days                                   |
| Domestic transfer by a natural person                               | RMB 500,000, or the equivalent of USD 100,000                | Within 5 business days                                   |
| Cross-border transfer by a natural person                           | The equivalent of USD 10,000                                 | Within 5 business days                                   |
| Suspicious transaction report                                       | No threshold                                                 | Promptly on forming suspicion; no tipping off            |
| Traveller currency declaration                                      | Above the customs declaration threshold                      | On entry or exit                                         |

Large-value reporting is an objective, threshold-driven duty and is not itself an allegation. Its analytical value for an automated agent is the detection of amounts deliberately positioned just beneath a threshold, and of aggregation across same-day or consecutive-day activity.

### 4. Cross-border and foreign exchange controls

- Individuals may purchase foreign exchange for permitted purposes up to an annual facility; use of the facilities of relatives, employees or unrelated third parties to assemble a larger sum for a single beneficiary is prohibited and is a strong laundering indicator.
- Underground banking, in which value is settled domestically in local currency against an offshore payment with no cross-border transfer occurring, is prohibited. Indicators include a domestic account funding many unrelated payees shortly after an offshore counterpart receives a matching aggregate.
- Trade settlement must reconcile to the customs declaration; goods declarations and payment values are cross-checked, and payments without a matching declaration require documented justification.
- Re-invoicing through an intermediary in a third jurisdiction, where the goods move directly between the two principals, requires commercial justification before settlement.
- Cross-border transfers by non-resident customers must state a permitted purpose; a generic purpose description is insufficient.

### 5. Local red flags

- Multiple individuals sharing an address, device or funding source each remitting close to the annual foreign exchange facility to a single foreign beneficiary within a short window.
- Corporate account with substantial outbound trade payments and negligible payroll, tax or utility activity.

- Cash activity repeatedly positioned between 90% and 99% of the large-value reporting threshold across consecutive days.
- Payment for imported goods routed to a supplier in a jurisdiction unrelated to the manufacture or shipping route shown on the declaration.
- Account activity consistent with the sale or rental of payment credentials: rapid inbound and outbound flows unrelated to the registered holder's declared occupation.
- Company whose licensed business scope does not cover the commodity being settled, or whose declared scope changed shortly before a large inbound payment.